

Then plan your expenses, savings, and retirement investing around your income.

Your current take-home pay is what sets the parameters of your spending plan. While a lot of people plan their spending around their projected income, we find that planning based on last month's income makes spending a lot simpler. This approach does require building a buffer of cash in your checking account equivalent to about one month's worth of income. We've found that this buffer gives you more freedom when making purchases and eliminates some anxiety about when a bill is being drafted from your account.

When you're planning your current spending, each area doesn't need to be elaborate. For me (still Jill), I have a spending spreadsheet with four columns. The first column is my fixed (and mostly automated) expenses with rows for housing, transportation, bills, subscriptions, phone, and internet. The second column is my discretionary and variable expenses with rows for my spending on food, nonfood, giving, and gas. The third column is for my saving goals with separate rows for my emergency fund and sinking funds. The fourth and final column is my retirement investing. That's it! It's not complex, and for that reason I don't mind looking at it regularly and making adjustments as needed. Here are a few pointers for you to design your own spending plan that works for you:

- 1. First,** tackle your expenses: everything you spend money on monthly, both fixed and discretionary. By now you've done a lot of work with your glorious 90-day transaction inventory, and if you haven't already, this is the time to trim and cancel anything unused or unnecessary. After that, put as many bills as possible on autopay. We want to automate *after* trimming expenses so that we're sure everything we want to "set and forget" is something we value and love buying! Even if you don't love buying electricity, I gotta imagine you value being able to microwave your coffee whenever it gets lukewarm. Thanks to electricity, that's possible. Now that you have a good handle on the expenses you will pay for each month, tally it all up. Find the total cost of your housing, transportation, food, bills, subscriptions, entertainment, and anything else you plan to spend on monthly. Keep that number handy.